



Republic of the Philippines
Province of Sorsogon
MUNICIPALITY OF PRIETO DIAZ
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Office of the Sangguniang Bayan

EXCERPT FROM THE MINUTES OF THE REGULAR SESSION OF THE 11TH SANGGUNIANG BAYAN OF PRIETO DIAZ, SORSOGON HELD ON JANUARY 20, 2025 AT ITS SESSION HALL

PRESENT:

Hon. Avon D. Domalaon, MPA	Municipal Vice Mayor/Presiding Officer
Hon. Jo Madel D. Domalaon	S. B. Member
Hon. Bienvenido D. Ayo, Jr.	-do-
Hon. Luis Lee E. Espeña, Jr.	-do-
Hon. Alice D. Emano	-do-
Hon. Rodolfo E. Diolata	-do-
Hon. Juan D. Ebid	-do-
Hon. Albert D. Destura	-do-
Hon. Antonio J. Emano, Jr.	LnB Pres. /S. B. Member
Hon. Rene Joseph D. Domasian	PPSK Pres./S.B. Member

ABSENT:

Hon. Joseph H. Yap, Jr.	S. B. Member/ on leave
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ORDINANCE NO. 2024-15

Introduced by the council

AN ORDINANCE AUTHORIZING THE LEASE AND EXPANSION OF PRIETO DIAZ WATER SYSTEM (PDWS) TO A PRIVATE ENTITY, ESTABLISHING TERMS FOR COMPREHENSIVE WATER UTILITY SERVICES, AND ENSURING THE PROTECTION OF PUBLIC INTEREST IN THE MUNICIPALITY OF PRIETO DIAZ, SORSOGON

WHEREAS, the Municipal Government of Prieto Diaz is faced with critical challenges in providing clean, safe, and accessible potable water to all its residents;

WHEREAS, the existing Prieto Diaz Water System has already been in operation since year 2019, which as per DPWH Department Order No. 176 s. 2015, the system has an estimated useful life of fifteen (15) years or until December 31, 2034; and has since been deteriorating in the absence of any maintenance program since its construction and, thus, already requires substantial upgrades and efficient management and upgrading to meet the growing demand of the residents of the municipality;

WHEREAS, the Local Government Code of 1991 (Republic Act No. 7160) empowers Local Government Units to engage in Public-Private Partnerships for the delivery of public services, enhancing service efficiency, quality, and accessibility;

WHEREAS, leveraging private sector expertise and resources through a lease agreement offers an opportunity to rapidly improve water infrastructure and service delivery across the municipality;

WHEREAS, in response to the growing clamor of the residents for a sustainable, efficient, and accessible water supply across the municipality, the Municipal Government of Prieto Diaz is embarking on a lease arrangement of its water system to better serve its constituents;

WHEREAS, it is imperative to ensure that such partnerships operate within a framework that safeguards the public interest, maintains service affordability, and upholds environmental sustainability;

NOW, THEREFORE, BE IT ORDAINED, by the Sangguniang Bayan of Prieto Diaz, in session assembled, that:

Section 1. TITLE. This ordinance shall be known as "*The Prieto Diaz Water System Lease and Expansion Ordinance of Prieto Diaz.*"

Section 2. DEFINITION OF TERMS. For the purpose of this ordinance and to ensure clarity and precision in its implementation, the following terms are defined as follows:

- a) Prieto Diaz Water System (PDWS): Refers to the existing water supply and distribution infrastructure within the municipality of Prieto Diaz, which serves the 5 Poblacion barangays, Rizal, Quidolog, Lupi and San Ramon under Level 2
- b) Lease Agreement: A legally binding contract between the municipality of Prieto Diaz (lessor) and a selected private entity (lessee), specifying the terms and conditions under which the Prieto Diaz Water System's operation, maintenance, and expansion are delegated to the lessee.
- c) Private Entity: Any legally recognized business, corporation, partnership, or organization that enters into a lease agreement with the municipality for the operation and expansion of the Prieto Diaz Water System.
- d) Oversight Committee: A committee established by this ordinance, composed of LGU representatives, lessee representatives, and community members, tasked with monitoring the implementation of the lease agreement and ensuring compliance with its terms
- e) Public-Private Partnership (PPP): A cooperative arrangement between one or more public sectors (in this case, the LGU) and the private sector, aimed at providing public services or infrastructure.
- f) Service Standards: The minimum performance metrics that the private entity must meet or exceed in the operation of the Prieto Diaz Water System, including but not limited to water quality, service reliability, and customer service.

- g) **Technical Expertise:** The specialized knowledge, skills, and experience required for the effective management, operation, and maintenance of water supply and distribution systems.
- h) **Financial Stability:** The financial health and capability of the private entity to invest in the Prieto Diaz Water System, ensuring its ability to fulfill investment commitments and sustain operations over the lease term.
- i) **Environmental Standards:** The regulations and guidelines that govern the protection of the environment in the context of water system management, ensuring sustainable use and preservation of water resources.

Section 3. AUTHORIZATION FOR COMPREHENSIVE WATER SERVICES. The municipality of Prieto Diaz hereby authorizes the lease and operation of the Prieto Diaz Water System, and its expansion to provide comprehensive water utility services throughout the municipality, to a selected private entity.

Section 4. EXPANSION AND DEVELOPMENT. The private entity shall be responsible for the operation, development and expansion of the existing Prieto Diaz Water System, and maintenance thereof of the entire water infrastructure to ensure universal access to potable water, incorporating new water sources, treatment facilities, and distribution networks as needed.

Section 5. EXCLUSIVE RIGHTS AND RESPONSIBILITIES. The private entity is granted the exclusive right to provide water utility services within Prieto Diaz within the lease period, subject to meeting performance standards, environmental guidelines, and ensuring service affordability and reliability and, subject further to the mutually agreed terms and conditions of the lease agreement.

For those barangays with existing water system, their water system shall remain in operation. However, the private entity may still provide water services in those barangays, giving the consumers the options for their water service providers. Those barangays granted or to be granted with financial aid from any national government agencies / offices, purposely for the establishment / construction of a water system, they may carry on with the said project.

Section 6. COMPETITIVE SELECTION PROCESS. To ensure the selection of the most capable private entity for the lease and operation of the Prieto Diaz Water System, a comprehensive, transparent, and fair competitive selection process will be established. This meticulous procedure is designed to safeguard the public interest by guaranteeing that the chosen private entity not only aligns with but also excels in the criteria critical for the successful management of the water system. The selection process will be delineated as follows:

1. **Announcement and Solicitation of Bids:** The municipality of Prieto Diaz will publicly announce the bidding process, outlining the scope of the lease, expectations, and qualification criteria.
2. **Submission of Proposals:** Interested private entities will be required to submit comprehensive proposals that detail their approach to managing the Prieto Diaz Water System. These proposals must include proof of technical expertise, financial stability documents, past experience in managing water systems, and

a strategic plan that demonstrates a commitment to meeting or exceeding the service quality and environmental standards specified by the municipality.

Evaluation Criteria: The evaluation of proposals will be based on a predefined set of criteria, including:

- a) **Technical Expertise:** Demonstrated capability in the engineering, operation, and maintenance of water supply systems and has pre-identified sustainable and potable sources of water that can sufficiently supply the municipality.
- b) **Financial Stability:** Evidence of the entity's financial health and access to necessary capital for infrastructure investments.
- c) **Commitment to Service Quality and Environmental Standards:** A detailed plan showing how the entity will ensure high service quality, customer satisfaction, and adherence to environmental regulations and sustainability practices.

Should all interested parties meet the qualification criteria, the entity offering the highest bid shall be selected, ensuring the municipality maximizes the benefits from the lease arrangement.

Selection Committee: A Selection Committee will be formed, comprising experts from relevant fields, LGU representatives, and potentially an independent observer. This committee will be responsible for reviewing all proposals against the evaluation criteria, conducting interviews if necessary, and making a recommendation for the selection based on merit, through an Executive Order by the Municipal Mayor.

Public Disclosure: To uphold transparency, the results of the selection process, including the rationale for the winning entity and summaries of all considered proposals, will be publicly disclosed. This ensures that the process remains open to scrutiny and reinforces accountability.

Contract Negotiation: Upon selection, the Municipality will enter into detailed contract negotiations with the chosen entity, focusing on finalizing the lease terms that protect the public interest and ensure the delivery of high-quality water services.

Section 7. LEASE AGREEMENT TERMS. The lease agreement between the municipality of Prieto Diaz and the selected private entity shall specify, in detail, the following terms:

- a) **Lease Term/Period and Renewal:** The lease term/period shall be set within a reasonable timeframe in the Lease Agreement to be entered into by the private entity and the municipality, with an option for renewal upon mutual agreement by the private entity and the municipality, subject to a review of the private entity's performance and compliance with the terms and conditions of the lease agreement.
- b) **Minimum Lease Rate:** The lowest possible annual lease rate shall be based on the annual depreciation of the Prieto Diaz water system, plus a 10% social discount rate. This rate ensures the municipality covers its costs while encouraging reasonable bids from interested entities.

- c) **Investment and Expansion Commitments:** Specific commitments by the private entity to invest in system upgrades and expansion, with timelines and milestones.
- d) **Rehabilitation Cost Adjustment:** While the Prieto Diaz Water System remains the property of the municipality of Prieto Diaz, the private entity shall shoulder the costs for necessary rehabilitation to meet the agreed service and quality standards.
- e) **Ownership of Expansion Investments:** Capital investments made by the private entity for the expansion of the Prieto Diaz Water System during and after the lease term shall remain the property of the private entity. This provision incentivizes the lessee to invest in high-quality infrastructure improvements.
- f) **Service Standards:** Clear standards for water quality, system reliability, customer service, and environmental protection that the private entity must meet or exceed.
- g) **Tariff and Billing Practices:** Guidelines for setting, adjusting, and billing for water services, including provisions to ensure affordability and transparency.
- h) **Performance Monitoring and Penalties:** Mechanisms for regular monitoring of the private entity's performance, with penalties for non-compliance and procedures for dispute resolution.
- i) **Termination Clauses:** Conditions under which either party may terminate the agreement, including safeguards to ensure continuity of service to residents.
- j) **Public Engagement and Accountability:** Requirements for the private entity to engage with the community and report on service performance and financial management.

Section 8. CREATION OF OVERSIGHT COMMITTEE. To ensure the effective implementation and operation of the Prieto Diaz Water System lease agreement, an Oversight Committee will be established. This Committee will serve as the mechanism for ensuring accountability, transparency, and compliance with all stipulated service standards and contractual obligations. The Committee's composition and functions are outlined as follows:

1. **Seven (7) LGU Representatives:** Including but not limited to members from the Sangguniang Bayan such as the Municipal Vice Mayor; SB Chairman, Committee on Rules and Good Government; SB Chairman, Committee on Public Works and Infrastructure; SB Chairman, Committee on Ways and Means; the Municipal Planning and Development Coordinator; the Municipal Engineer; and other offices as may be deemed necessary by the Municipal Mayor;
2. **Five (5) Lessee Representatives:** Key personnel from the private entity that is awarded the lease, who possess technical knowledge and decision-making authority.

3. Two (2) Community Representatives: Elected or appointed members from the community, ideally representing the SB-accredited people's organizations in the municipality as observers
4. Legal Consultant: A qualified legal expert, either an in-house legal counsel of the MLGU or an external consultant, to provide legal oversight and ensure all actions and decisions comply with existing laws and the terms of the lease agreement.

The said committee shall be chaired by the Municipal Mayor, co-chaired by the representative from the lessee representative.

Section 9. FUNCTIONS AND RESPONSIBILITIES OF THE OVERSIGHT COMMITTEE. The oversight committee shall have the following functions and responsibilities:

1. Monitoring Compliance: Regularly review the lessee's performance against the service standards and investment commitments outlined in the lease agreement.
2. Transparency and Reporting: Facilitate open communication between the lessee, LGU, and the public. This includes overseeing the publication of performance reports, financial statements, and conducting public forums or hearings.
3. Grievance Handling: Establish and manage a transparent grievance redressal mechanism to address any complaints from the public regarding water service quality, billing, or other related concerns.
4. Advisory Role: Provide recommendations to both the LGU and the lessee on improvements, expansions, or modifications to service delivery, based on emerging needs or challenges, subject to concurrence and/or approval of the lessee.
5. Emergency Response Coordination: Oversee the lessee's preparedness and response to water service emergencies, ensuring minimal disruption to services.

Meetings and Reporting: The Oversight Committee shall meet regularly, at least quarterly, to review performance reports, discuss issues, and plan future actions. Annual reports summarizing the Committee's activities, findings, and recommendations shall be submitted to the Sangguniang Bayan and made publicly available.

Section 10. ENVIRONMENTAL PROTECTION. Commitment to environmental sustainability shall be a key component of the lease agreement, with measures to protect water sources and minimize ecological impact.

Section 11. IMPLEMENTATION AND REGULATION. Detailed implementing rules and regulations shall be formulated to guide the operationalization of this ordinance, ensuring alignment with national laws and local development goals.

The Municipal Mayor, in coordination with relevant LGU departments, is hereby authorized to take all necessary actions to implement the provisions of this ordinance,

including the formation of the Selection Committee, and to ensure that the lease agreement is executed in accordance with the terms specified herein.

Section 12. REPEALING CLAUSE. All ordinances, resolutions, or parts thereof which are inconsistent with the provisions of this ordinance are hereby repealed or modified accordingly.

Section 13. SEPARABILITY CLAUSE. if, for any reason, any provision of this ordinance or any part thereof shall be held unconstitutional and invalid, the other parts or provisions which are not affected thereby, shall remain in full force and effect.

Section 14. EFFECTIVITY. This ordinance shall take effect immediately upon the completion of the required publication as provided for in the LGC of 1991.

APPROVED BY THE MAJORITY.

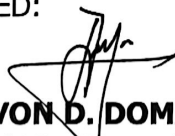
Let copies of this ordinance be forwarded to the Sangguniang Panlalawigan through Vice Governor Hon. Krunimar Antonio D. Escudero II, MDMG; copy furnished Hon. Romeo D. Domasian, Municipal Mayor; Engr. Exequiel Destura, Municipal Engineer; Mr. Roderick Domasig, Municipal Planning and Development Coordinator; Ms. Gemma Ferrer, Municipal Treasurer; Ms. Maribel Aldon, Municipal Accountant; and all concerned for their information and appropriate action.

DATE ENACTED: JANUARY 20, 2025

I HEREBY CERTIFY TO THE CORRECTNESS OF THE FOREGOING.


BERNADETTE R. ESPEÑA-YAO
Secretary to the Sangguniang Bayan

ATTESTED:


Hon. AVON D. DOMALAON, MPA
Municipal Vice Mayor/ Presiding Officer

APPROVED:


Hon. ROMEO D. DOMASIAN, PhD
Municipal Mayor
Date approved: FEB 04 2025



Republic of the Philippines
PROVINCE OF SORSOGON
Sorsogon City



SANGGUNIAN PANLALAWIGAN

SP Building, Gov. Augusto G. Ortiz Drive corner, Gov. Salvador C. Escudero, Sr. Drive,
Capitol Compound, Bgy. Burabod, East District, Sorsogon City

March 17, 2025

TRANSMITTAL NO. **199-2025**

TRANSMITTAL FOR: **THE HONORABLE SANGGUNIAN BAYAN**

Thru: **Ms. BERNADETTE E. YAO**

Secretary to the Sangguniang Bayan

LGU – Prieto Diaz, Sorsogon

Respectfully transmitting the herein resolution approved by the 11th Provincial Board on **February 26, 2025 (136th Regular Session)** for your information and reference.

RESOLUTION NO. 149-2024

RESOLUTION ADOPTING AND APPROVING JOINT COMMITTEE REPORT NO. 81-2025 OF THE COMMITTEE ON RULES AND REVISIONS OF LAW ON PRIETO DIAZ ORDINANCE NO. 2024-15, ENTITLED; "AN ORDINANCE AUTHORIZING THE LEASE AND EXPANSION OF PRIETO DIAZ WATER SYSTEM (PWS) TO A PRIVATE ENTITY, ESTABLISHING TERMS FOR COMPREHENSIVE WATER UTILITY SERVICES AND ENSURING THE PROTECTION OF PUBLIC INTEREST IN THE MUNICIPALITY OF PRIETO DIAZ, SORSOGON."

Prepared by:


RHEA T. DIESTA

Local Legislative Staff Officer III

SBIC - 03192025-094

OFFICE OF THE SECRETARY	TO: BAYAN
LC	DATE
BY:  PINKY E. DESTURA	
DATE: 3-19-25	TIME: 8:30 AM

Noted:


ATTY. RODOLFO C. DEALCA, JR.

Secretary to the Sangguniang Panlalawigan



Republic of the Philippines
PROVINCE OF SORSOGON
Sorsogon City



SANGGUNIANG PANLALAWIGAN

*SP Building Gov. Augusto G. Ortiz Drive corner Gov. Salvador C. Escudero, Sr. Drive,
Capitol Compound, Brgy. Burabod, East District, Sorsogon City-4700*

EXCERPT FROM THE JOURNAL OF THE 137th **REGULAR SESSION** OF THE
11TH PROVINCIAL BOARD ON **MARCH 3, 2025** AT THE SP SESSION HALL,
SANGGUNIANG PANLALAWIGAN BUILDING, GOV. AUGUSTO G. ORTIZ DRIVE
COR. GOV. SALVADOR C. ESCUDERO, SR. DRIVE, CAPITOL COMPOUND, BRGY.
BURABOD, EAST DISTRICT, SORSOGON CITY.

PRESENT:

Hon. Krunimar Antonio D. Escudero II, Vice Governor/Presiding Officer

1ST DISTRICT

Hon. John Ryan C. Dioneda
Hon. Maria "Nini" O. Ravanilla
Hon. Ralph Walter R. Lubiano
Hon. Edmundo A. Atutubo
Hon. Rommel John C. Mella

2ND DISTRICT

Hon. Ramil M. Robles
Hon. Benito L. Doma
Hon. Roland R. Añonuevo
Hon. Eduardo E. Ong Jr.

EX-OFFICIO

Hon. Ramon B. Escudero – Provincial President, Philippine Councilors League
Hon. Jose Arturo D. Enano – Provincial President, Liga ng mga Barangay
Hon. Karl Marx H. Lozada – Provincial President, Sangguniang Kabataan Federation

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RESOLUTION NO. 149-2025

**RESOLUTION ADOPTING AND APPROVING JOINT COMMITTEE REPORT
NO. 81-2025 OF THE COMMITTEE ON TRANSPORTATION, ENERGY AND
UTILITIES; AND COMMITTEE ON RULES AND REVISIONS OF LAW ON
PRIETO DIAZ ORDINANCE NO. 2024-15, ENTITLED: "AN ORDINANCE
AUTHORIZING THE LEASE AND EXPANSION OF PRIETO DIAZ WATER
SYSTEM (PWS) TO A PRIVATE ENTITY, ESTABLISHING TERMS FOR
COMPREHENSIVE WATER UTILITY SERVICES AND ENSURING THE
PROTECTION OF PUBLIC INTEREST IN THE MUNICIPALITY OF PRIETO
DIAZ, SORSOGON."**

WHEREAS, submitted to Sangguniang Panlalawigan of Sorsogon was Prieto Diaz
Ordinance No. 2024-15 for review and appropriate action;

WHEREAS, the Joint Committee on Transportation, Energy and Utilities; and
Committee on Rules and Revisions of Law to which the subject ordinance was referred,
respectfully submits its findings and recommendations, to wit:

1. Prieto Diaz Ordinance No. 2024-15 seeks to ensure a stable supply of clean
water, support community growth, improve public health, upgrade infrastructure,
and ultimately enhancing the quality of life and sustainable development in the
Municipality of Prieto Diaz.

2. The Joint Committees conducted a hearing on February 27, 2025, to discuss the lease agreement and expansion of the municipal water system in partnership with a private entity. However, the committee found out that the ordinance lacked the specific provisions necessary to support its core purpose.

Consequently, the committee decided to set another hearing on February 28, 2025 inviting a representative from the private entity for further discussion in refining the ordinance, ensuring that the agreement is clear, beneficial to the municipality, towards a sustainable water system.

3. On February 28, 2025, Engr. Eduardo Destura, the project proponent, explained that indeed there is a need to provide the residents of Prieto Diaz with a sufficient supply of potable water, since at present, only five Poblacion Barangays (namely: Tupaz, Brillante, Perlas, Diamante, Maningcay-de Oro) and Barangays Rizal, Quidolog, Lupi and San Ramon have adequate access to water. By collaborating with the private sector, the municipality can expand water distribution to other barangays, ensuring improved access for communities.
4. The Municipality of Prieto Diaz currently supplies 2 million liters of water per day, more or less 64 million liters per month. However, despite this capacity, some households, particularly those in remote and elevated areas, still lack access to a reliable water supply. The partnership will enable the Municipal Government of Prieto Diaz to upgrade its water infrastructure, modernizing equipment, and expanding the distribution network.
5. The municipal government, however, is found to have allocated funds for the proposed water system in its Annual Investment Plan, indicating that financial provisions for the project are already in place. Also, the Department of Public Works and Highways (DPWH) has an existing plan and budget dedicated for the same infrastructure project. With these discoveries, potential overlapping of resources, duplication of efforts, and possible financial mismanagement are inevitable if these concerns were not properly addressed and resolved. To prevent inefficiencies or misuse of government funds, the conduct of a more thorough evaluation and verification of existing plans and budgets are highly recommended to assure that financial resources are allocated effectively, responsibilities are defined, and any inconsistencies/ redundancies are addressed before proceeding with further actions related to the purpose.
6. The representatives from the municipality of Prieto Diaz agreed to withdraw the ordinance based on the abovementioned observations/findings, for the conduct of comprehensive review of the ordinance to ensure that all legal aspects are properly addressed. There is the need to examine specific legal provisions that could strengthen the ordinance, establish clearer guidelines, and incorporate corrective measures to align it with existing laws and to avoid misuse of government funds.
7. The Joint Committees deem it proper to grant the request of the Municipal Mayor to withdraw the ordinance.

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RECOMMENDATION:

In view of the foregoing findings, the committee recommends to grant and formally put on record the request of the Municipal Mayor to withdraw **PRIETO DIAZ ORDINANCE NO. 2024-15** from its referral to the Joint Committees, and for the adoption and approval of this Joint Committee Report”;

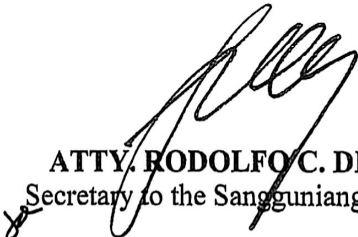
NOW, THEREFORE, on motion of Hon. John Ryan C. Dioneda, duly seconded by Hon. Benito L. Doma, the Board **RESOLVED**, as it is hereby **DONE**, to **ADOPT AND APPROVE JOINT COMMITTEE REPORT NO. 81-2025 OF THE COMMITTEE ON TRANSPORTATION, ENERGY AND UTILITIES; AND COMMITTEE ON RULES AND REVISIONS OF LAW ON PRIETO DIAZ ORDINANCE NO. 2024-15, ENTITLED: “AN ORDINANCE AUTHORIZING THE LEASE AND EXPANSION OF PRIETO DIAZ WATER SYSTEM (PWS) TO A PRIVATE ENTITY, ESTABLISHING TERMS FOR COMPREHENSIVE WATER UTILITY SERVICES AND ENSURING THE PROTECTION OF PUBLIC INTEREST IN THE MUNICIPALITY OF PRIETO DIAZ, SORSOGON.”**

LET COPIES of this resolution be furnished Mayor Romeo D. Domasian and the Sangguniang Bayan of Prieto Diaz, Sorsogon for their information and guidance.

APPROVED.

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I HEREBY CERTIFY to the correctness of the foregoing.


ATTY. RODOLFO C. DEALCA, JR.
Secretary to the Sangguniang Panlalawigan

ATTESTED:


HON. KRINIMAR ANTONIO D. ESCUDERO II, MDMG
Vice Governor/Presiding Officer